



Investment Analyst report

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Business Problem:



A potential investor wants to determine whether SmartCentres REIT is a suitable investment. This requires analyzing historical stock performance, dividend sustainability, financial performance, competitor performance, and macroeconomic indicators such as interest rates to support an evidence-based investment recommendation.

Smartcentre overview and present

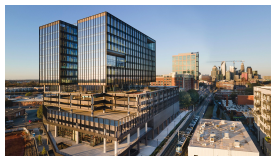
*Established in 1993,

SmartCentres' portfolio includes an ownership interest in properties comprising retail shopping centres, mixed-use properties, and development lands. Our properties are within 10kms of 90% of the Canadian population.

Business Model



Retail shopping centres



Mixed-use developments



Residential projects

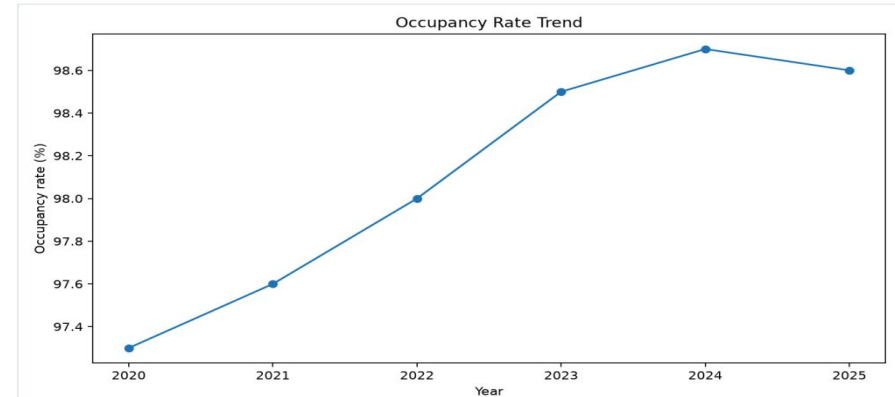
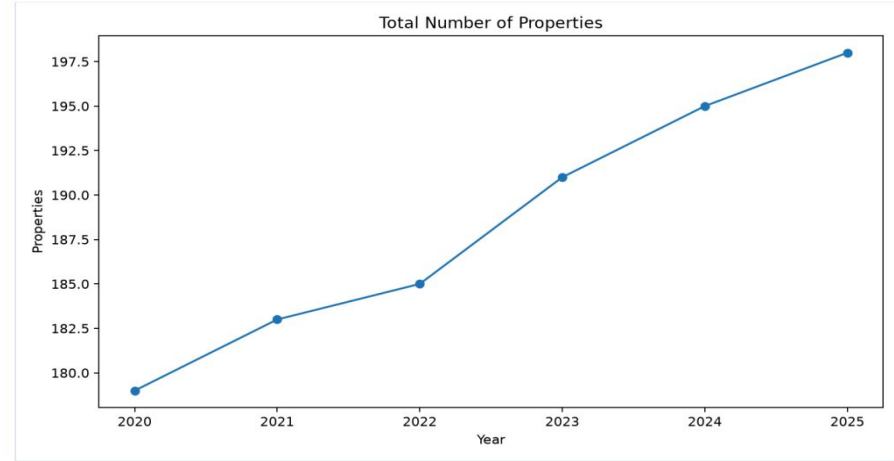


<i>Metric</i>	<i>Value</i>
<i>Properties</i>	<i>200</i>
<i>Income-Producing area</i>	<i>36m sq ft</i>
<i>Total assets</i>	<i>12.3B</i>
<i>Occupancy rate</i>	<i>98.6%</i>

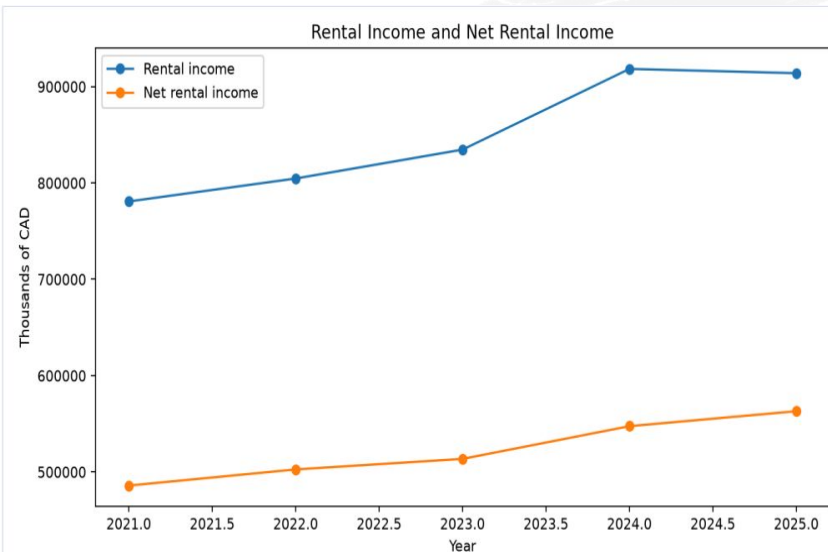
Growth & occupancy trends

The business is growing annually with increasing occupancy this shows a clear growth trend.

- *Almost 200 owned properties*
- *98 percent plus occupancy*



Financial health of the business



Key Ratio

2024

Interpretation

Occupancy Rate

98.6%

Excellent

Debt-to-Aggregate Assets

43.7%

Healthy leverage

FFO per Unit

CAD 2.26

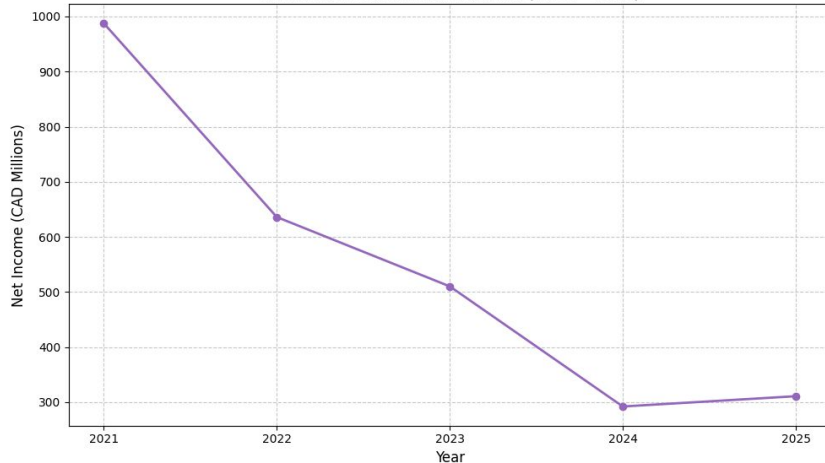
Good debt servicing ability

2.5×

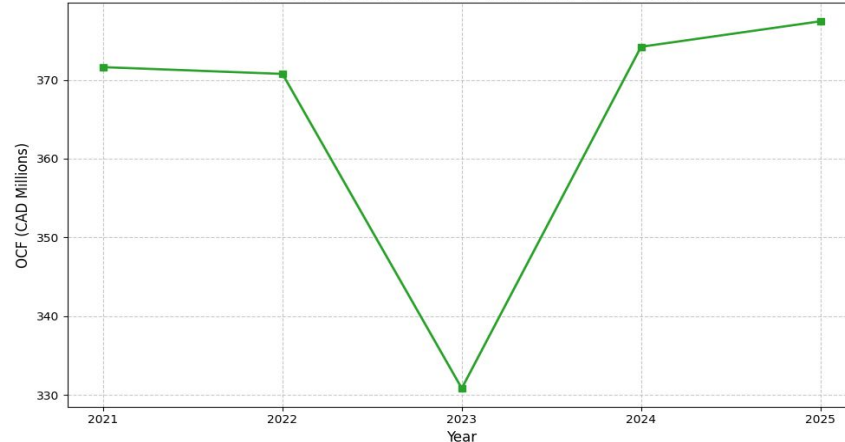
SmartCentres has seen steady growth in its rental income over the years and has grown in asset and new projects. The debt-to-asset ratio stands at a healthy 43.7%, well within a manageable range for a REIT of this size.

Key business indicators (profit and cashflow)

SmartCentres Net Income Trend (2021 - 2025)



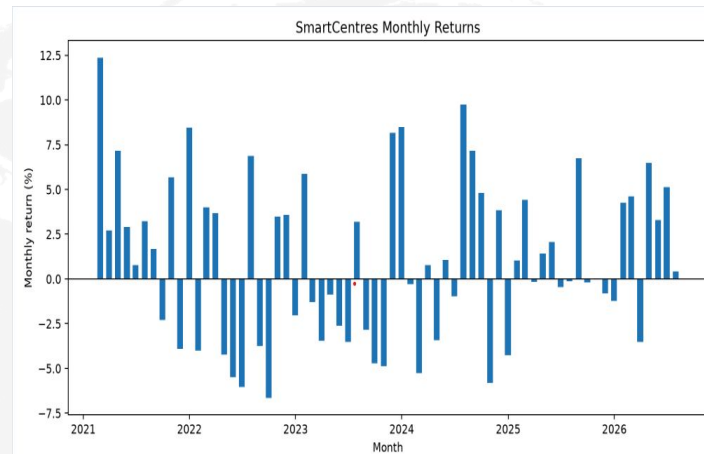
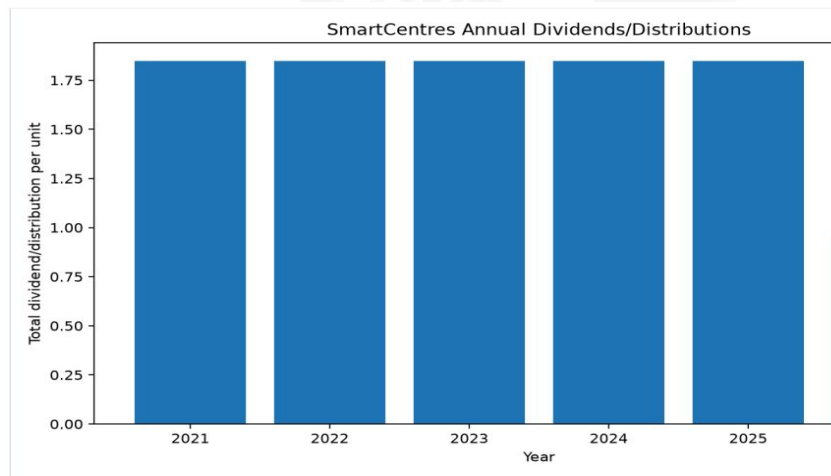
SmartCentres Operating Cash Flow Trend (2021 - 2025)



Key insights

- Net income is falling over the years
- The cashflow dropped in 2023 but again recovered and is thriving in 2025

Return trends over the last 5 years

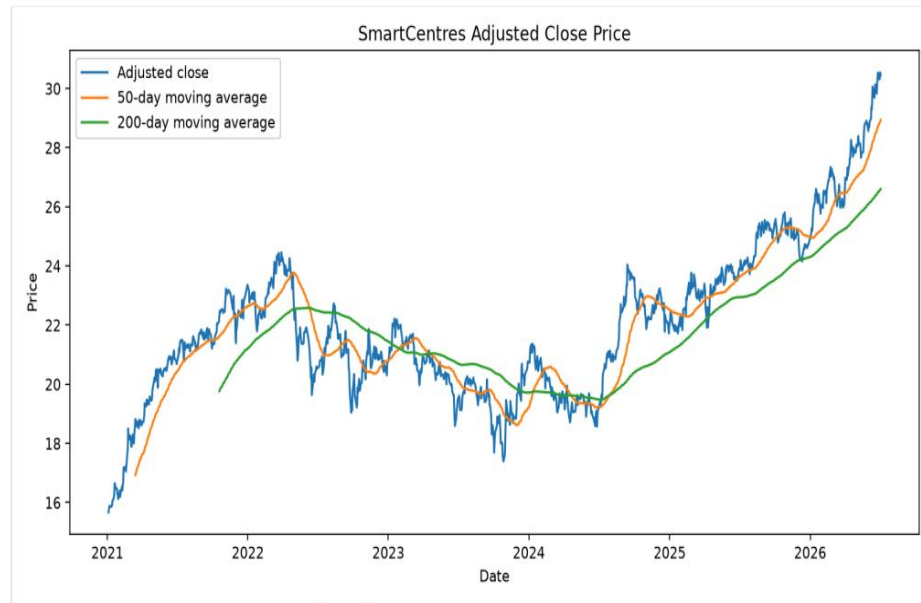


Key insights

- Annual dividend has been consistent over the years
- The Monthly return has been volatile as the price fluctuates

Return trends over the last 5 years

The adjusted closing price, 30 days moving average and 200 days moving average all have been growing with short term fluctuation however, in long-term there has been good return



SmartCentres price and moving averages

Competitors Market share

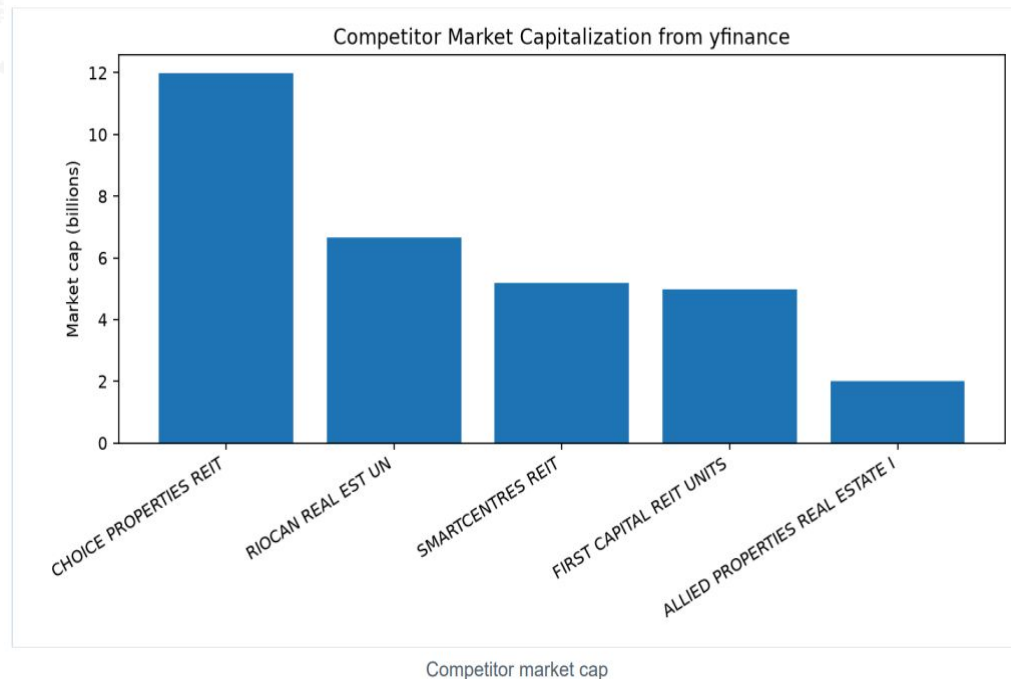


RIO CAN™



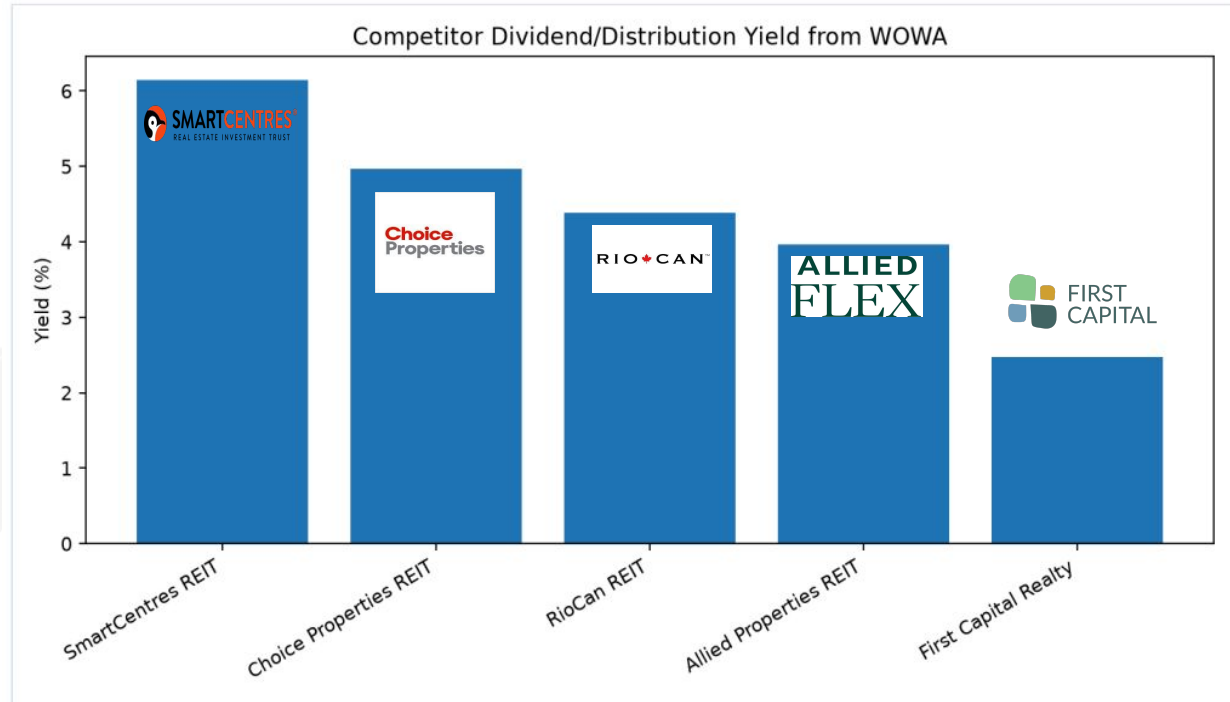
CT REIT

Choice
Properties



Competitors

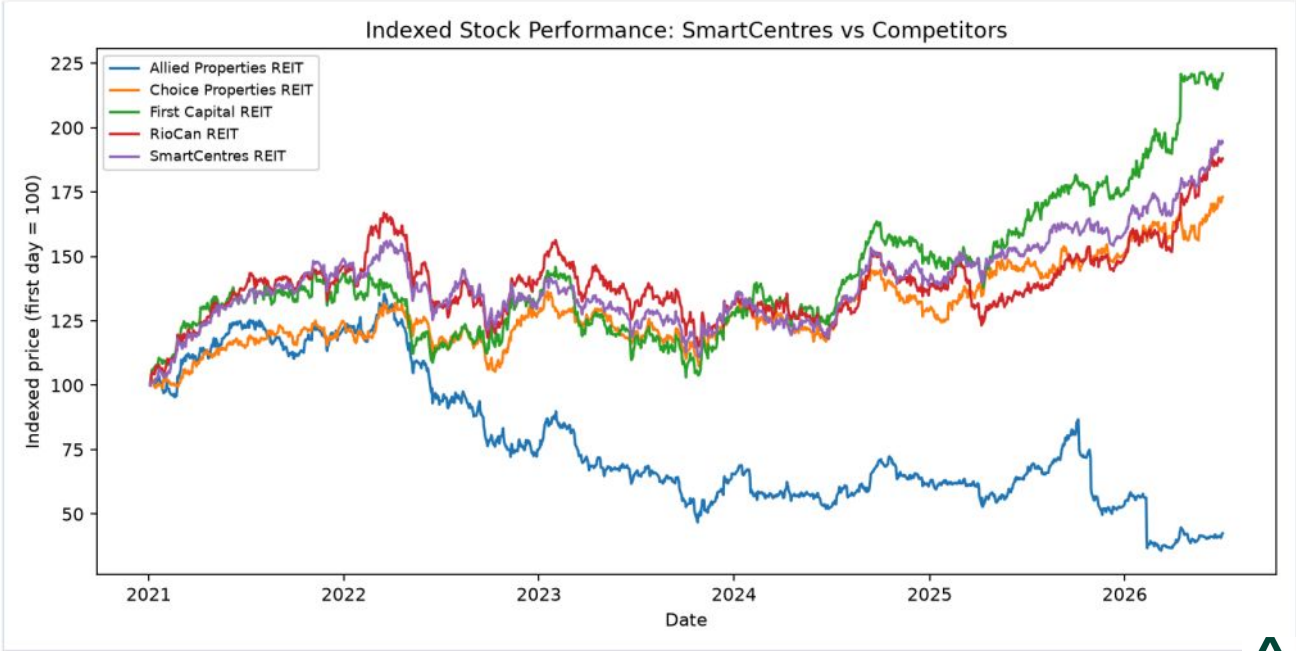
REIT	Dividend Yield
SmartCentres REIT	6.15%
Choice Properties REIT	4.97%
RioCan REIT	4.39%
Allied Properties REIT	3.97%*
First Capital REIT**	2.47%



*Allied Properties cut its monthly distribution ~60% in early 2026; yield shown is the post-cut forward rate.

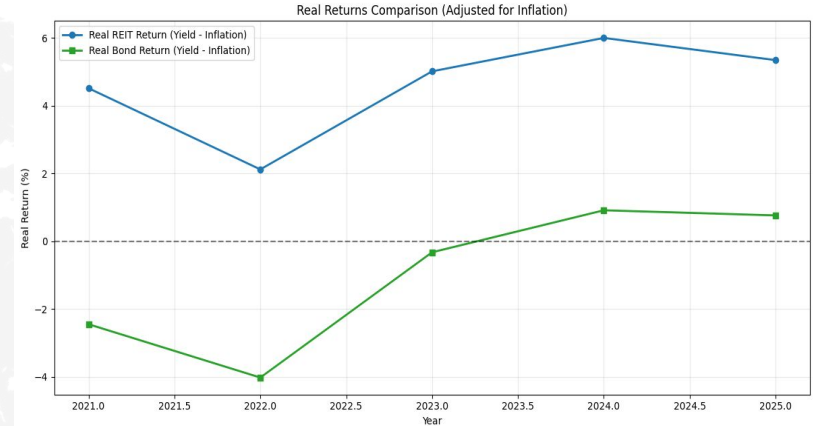
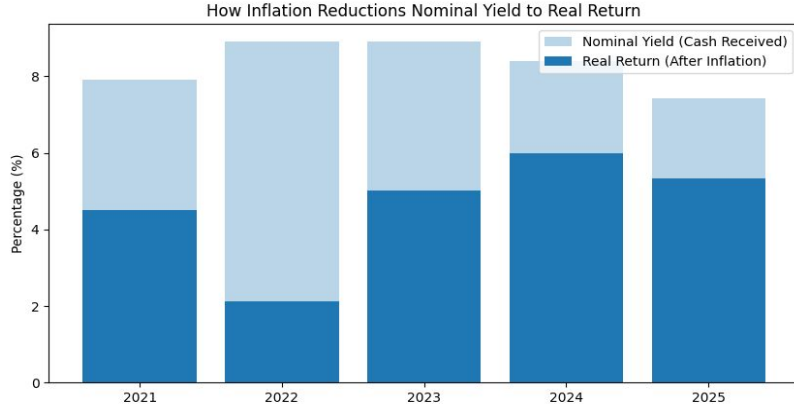
**First Capital REIT agreed (Apr 2026) to be acquired by Choice Properties & KingSett Capital (~\$9.4B); delisting expected Q4 2026.

Comparison with Competitors



RIO CAN™

Macro-economic factors impacting



Key insights

- Returns on stocks are higher compared to bonds
- The returns are positive even after taking inflation into account .

Macro-economic factors impacting

Investment Risks

Major Risks

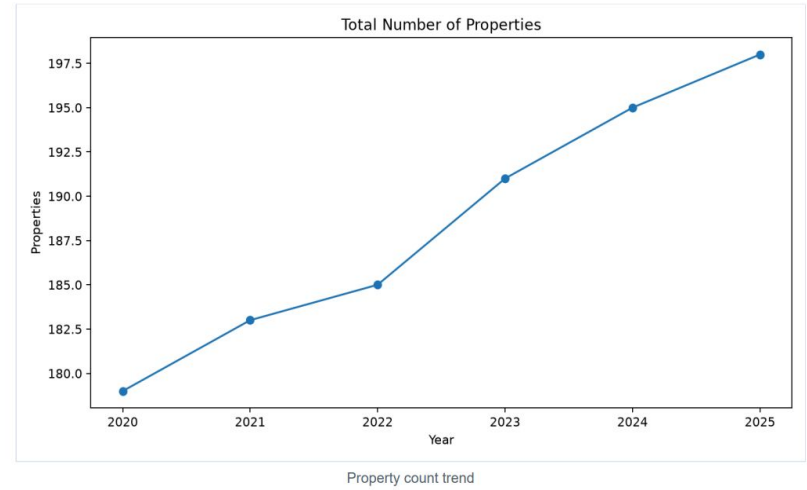
- Rising interest rates
- Economic slowdown
- Retail industry disruption
- Tenant bankruptcies
- Higher financing costs
- Real estate market downturn

Risk Assessment

Despite these risks, SmartCentres maintains a strong balance sheet and diversified portfolio, reducing overall investment risk.



Smartcentres future plans



How the Growth looks like:

- Mixed-use developments
- Expansion opportunities
- Strong tenant relationships
- Population growth near properties

Recommendation



Recommendation: BUY

Reasons

- ✓ High occupancy rate (98.6%)
- ✓ Stable monthly dividend
- ✓ Strong rental income
- ✓ Diversified property portfolio
- ✓ Long-term development pipeline
- ✓ Financially stable REIT
- ✓ Better return compared to competitors



Recommendation



SmartCentres REIT appears to be an attractive investment for income-oriented and long-term investors. The company's high occupancy rate, substantial asset base, strong dividend yield, and future development opportunities outweigh the risks associated with interest rates and broader economic conditions. Therefore, a **BUY recommendation** is warranted, particularly for investors seeking stable income and moderate long-term capital appreciation.

Sources, lessons learned & Q&A



Sources and references

SmartCentres REIT. (2022–2025). *Annual reports and Q4 financial statements*.

<https://smartcentres.com/investors/financial-reports/>

Yahoo Finance. (2022–2025). *SRU-UN.TO historical price, dividend, and company profile data* [Data set].

<https://finance.yahoo.com/quote/SRU-UN.TO/>

Bank of Canada. (2022–2025). *Valet API: Macroeconomic and policy-rate data* [Data set].

<https://www.bankofcanada.ca/valet-api-how-to/>

WOWA. (2026). *Canadian REIT competitor comparison data*. <https://wowa.ca/reit-canada>

Lessons learned: Reconciling REIT metrics across sources required aligning fiscal periods (e.g., matching Bank of Canada policy-rate dates to SmartCentres' quarterly reporting cycle) and cross-checking third-party competitor figures against original filings when aggregators lagged real events, such as Allied Properties' 2026 distribution cut.

Questions and discussion